The US NBER has a formal definition of *recession*, but there are no similar definitions for any of the above phrases for market action. That entire list is squishy and imprecise. What information do they provide to an investor?

None.

Consider this to be a truism whenever you flip on the news and become frightened by the first draft of history. The odds are very much against decisions made under those circumstances working out well for your long-term portfolio.

Why do I claim definitions are pointless and unable to help investors in any meaningful way? They don't assist in managing risk; they don't inform as to when or how to deploy capital. They lead to bad decision-making and worse outcomes. What they reveal at most is what some other investors, relying on similarly meaningless numbers, may believe. It seems to be one of those trading myths that get passed along from generation to generation, with no one ever considering whether it has any actual validity.

I have been refining a better way to define markets for over 20 years.[177] In the early 2000s, I began to consider a different set of definitions for bull and bear markets. The idea was to create something useful that I could use as an investor, reflecting what was actually occurring during longer market trends. I found it practical to start with the market gains or losses, then add equal parts long-term economic trends and investor psychology—specifically regarding valuations—to the equation.

Thus, my definitions of bull and bear markets are as follows:

- **Secular bull market**: An extended period of time, typically 10 to 20 years, driven by broad economic shifts that create an environment conducive to rising corporate revenues and earnings. Market volatility tends to decrease. The most dominant feature is an increasing willingness from investors to pay more and more for a